READING YOUR FINANCIALS

Cash vs accrual, in plain terms

This is the question we get asked most, and it is a good one. The two methods can show very different pictures of the same month, and knowing which you are looking at changes how you read your numbers.

Cash basis

Money counts when it actually moves. Revenue shows up when a customer pays you. An expense shows up when you pay the bill.

Simple, and it matches your bank account. But it can hide timing. A big client paying late can make a strong month look weak.

Accrual basis

Money counts when it is earned or owed. Revenue shows up when you do the work, even if payment comes later. An expense shows up when you incur it, even if you pay it next month.

More work to maintain, but it shows the true shape of your business month to month.

An example

You finish a job in March and the customer pays in April. On **cash basis**, that revenue lands in April. On **accrual basis**, it lands in March, when you earned it. Same money, different month. That is why the two reports rarely match, and why neither is wrong.

Which one should you look at

- ✓ Use **cash** when your question is "how much money do I have and when." It follows your bank balance.
- ✓ Use **accrual** when your question is "how did the business actually perform this month." It follows the work.
- ✓ We can prepare either. Tell us how you like to read your business and we will lead with that view.

Which method you use for tax filing is a conversation for your CPA. We keep your books accurate on the basis you choose so that conversation is simple.

READING YOUR FINANCIALS

How money between your entities shows up

If you run more than one business, or one owner sits above several locations or companies, money often moves between them. Read the wrong way, those transfers can look like revenue or expense that was never really there. Here is how we handle it so your numbers stay honest.

The core idea

When one of your entities sends money to another, that is not the group earning or spending money. It is the same money changing pockets. If we counted it as sales in one place and a cost in the other, both sets of books would be overstated, and the combined picture would be wrong.

So transfers between related entities are recorded as **what they actually are**: a transfer, a loan between the companies, or an owner contribution. Not sales, not an outside expense.

An example

Your holding company covers payroll for one of your locations, and the location pays it back later. That is money owed between the two, an amount receivable on one side and payable on the other. It is not new revenue for the holding company and not a new expense for the location. When you look at the whole group together, those two entries cancel out, exactly as they should.

What to look for on your reports

- ✓ **Per entity,** you will see amounts due to or from your other entities, kept separate from real outside sales and costs.
- ✓ **Across the group,** a combined view removes the internal transfers so you see true outside revenue and true outside spending.
- ✓ If a number looks too big in one entity, check whether part of it is really money moving in from another. We label these clearly so you can tell at a glance.

Multi entity structures also raise tax and legal questions about how the entities relate. Those belong with your CPA or attorney. Our job is to make the money flows accurate and easy to follow.

READING YOUR FINANCIALS

How to read your monthly pack

Each month you receive a short package of reports. You do not need an accounting background to get value from it. Here is what each piece tells you and where to look first.

Profit and loss

Your income and expenses over the month. It answers "did the business make money, and where did it go."

Read top to bottom: revenue at the top, costs in the middle, what is left at the bottom.

Balance sheet

A snapshot of what you own and what you owe on the last day of the month. It answers "what is the business worth right now."

Assets on one side, what you owe and your equity on the other. The two sides always balance.

What to look at first

1. **Read our summary note.** We call out what changed and what deserves your attention before you open a single report.
2. **Check the bottom line on the profit and loss.** Did you keep more or less than last month, and does that match how the month felt.
3. **Scan for anything surprising.** A category much higher or lower than usual is worth a question. Ask us. That is what your review is for.
4. **Glance at cash on the balance sheet.** It is the fastest read on your cushion heading into next month.

You do not have to read it alone

Bring any report to your review and we will walk it through with you. There is no such thing as a question that is too basic. The whole point is that you understand your own numbers with confidence.